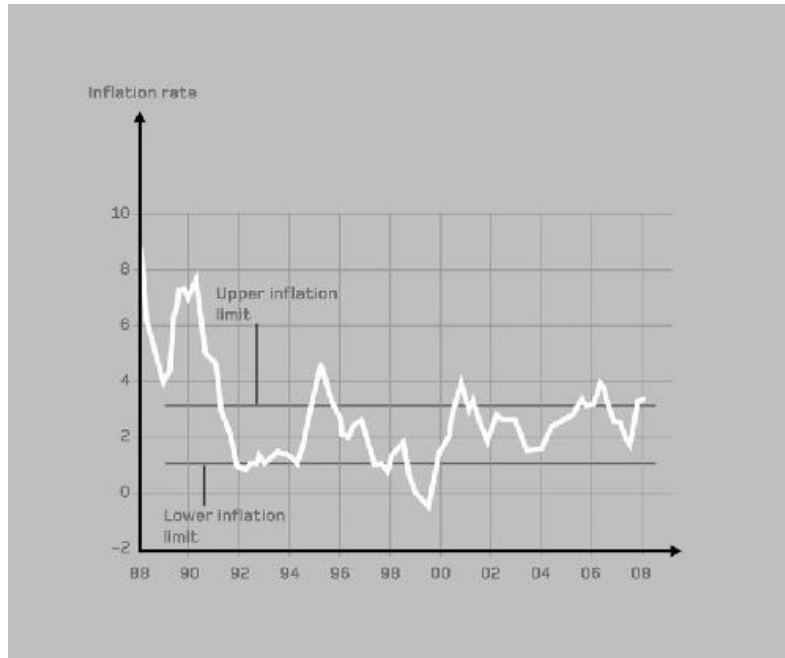


Inflation targeting

During the 1980s, many countries' monetary policies were based on targets for growth of the money supply that proved difficult to hit. Since a key aim of the targets was to achieve a stable and appropriate rate of inflation, why not target inflation directly? US economist John Taylor proposed an inflation-targeting rule based on the adjustment of interest rates by the central bank in response to economic conditions.

Suppose the inflation target was 3 per cent. The rule would require a rise in the interest rate if actual inflation exceeded 3 per cent. This would cool the economy and bring inflation down towards its target rate. The rule also required a rise in interest rates when employment was above its long-run 'natural' level, and a decrease when it was below it. In recent decades many central banks adopted policies along the lines of the Taylor rule. Some economists argue that this fostered the relatively stable, low inflationary economic environment that lasted up until the economic crisis that began in 2007.

Inflation targeting in New Zealand, 1988-2008



Targeting policies frequently aim to keep inflation between upper and lower limits.